CHAPTER 5

ACCOUNTING FOR SHARE CAPITAL

CHAPTER ESSENCE AT A GLANCE:
Issue equity and preference shares at par and premium, manage oversubscription via pro-rata allotment, and execute share forfeiture and reissue with capital reserve transfer.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Corporate Share Capital Hierarchy:** Authorized capital sets the registered legal ceiling; issued capital is offered to the public; subscribed capital is applied for; called-up capital is demanded; paid-up capital is actually received.

• **Securities Premium Statutory Safeguards:** Securities premium is a capital receipt governed by Section 52(2) of Companies Act 2013, restricted strictly to bonus shares, preliminary expenses, redemption premiums, and share buybacks.

• **Pro-Rata Allotment Mechanics:** When shares are oversubscribed, applications are allotted proportionally, with excess application money adjusted toward allotment and calls-in-advance.

• **Share Forfeiture and Reissue Dynamics:** Defaulting shares are cancelled and paid amounts confiscated to Share Forfeiture Account; reissue discount cannot exceed the amount already forfeited on those specific shares.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Transfer to Capital Reserve} = \text{Amount Forfeited on Reissued Shares} - \text{Discount Allowed on Reissue}$$

Reissued Shares Capital Reserve Formula

$$\text{Pro-Rata Allotment Ratio} = \frac{\text{Total Shares Available for Allotment}}{\text{Total Shares Applied By Category}}$$

Proportionate Pro-Rata Allotment Fraction

$$\text{Maximum Permissible Reissue Discount} \leq \text{Amount Credited to Share Forfeiture per Reissued Share}$$

Companies Act Share Reissue Discount Ceiling

$$\text{Securities Premium Scope} \rightarrow \text{Bonus Shares} + \text{Preliminary Expenses} + \text{Debenture Premium} + \text{Buyback}$$

Section 52(2) Statutory Permissible Applications

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** If securities premium was already received prior to forfeiture, it cannot be cancelled or debited; it is debited only if it remains unpaid.

• **Alert:** Excess application money adjusted toward allotment must be factored in when calculating unpaid allotment arrears for defaulting shareholders.

• **Alert:** Only the net profit on reissued shares is transferred to Capital Reserve; the balance on un-reissued forfeited shares remains in the Share Forfeiture Account.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between Authorized Share Capital and Subscribed Share Capital. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Authorized Capital:** The maximum nominal amount of share capital that a company is legally authorized to issue under its Memorandum of Association. [1 Mark]

• **Subscribed Capital:** The portion of issued capital which has actually been applied for and subscribed to by the public or investors. [1 Mark]

2. State any four permissible uses of Securities Premium Account under Section 52(2) of the Companies Act 2013. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **1 & 2:** Issuing fully paid bonus shares to members; writing off preliminary expenses of the company. [1 Mark]

• **3 & 4:** Writing off expenses or commission on issue of shares or debentures; providing premium payable on redemption of preference shares or debentures. [1 Mark]

3. Explain what is meant by Calls in Arrears and Calls in Advance. State their presentation in the Company Balance Sheet. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Calls in Arrears:** The unpaid amount called up by the company from shareholders; deducted from Subscribed but not fully paid-up capital in the balance sheet. [1.5 Marks]

• **Calls in Advance:** Amount received from shareholders prior to calls being formally made; shown under Other Current Liabilities in Current Liabilities. [1.5 Marks]

4. Pass journal entries for the forfeiture of 500 equity shares of Rs 10 each (Rs 8 called up) held by Anil for non-payment of first call of Rs 2 per share. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Share Capital Debit:** Debit Equity Share Capital Account Rs 4,000 (500 shares * called-up Rs 8). [1 Mark]

• **Unpaid Call Credit:** Credit Calls in Arrears $\frac{A}{c}$ Rs 1,000 (500 shares * unpaid Rs 2). [1 Mark]

• **Forfeiture Credit:** Credit Share Forfeiture $\frac{A}{c}$ Rs 3,000 (500 shares * paid Rs 6). [1 Mark]

5. Out of 500 forfeited shares of Rs 10 each (on which Rs 6 was paid), 300 shares were reissued as fully paid for Rs 8 per share. Pass journal entries for reissue and transfer to Capital Reserve. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Reissue Entry:** Debit Bank $\frac{A}{c}$ Rs 2,400 (300 * Rs 8), Debit Share Forfeiture $\frac{A}{c}$ Rs 600 (300 * discount Rs 2), Credit Equity Share Capital Account Rs 3,000 (300 * Rs 10). [1.5 Marks]

• **Capital Reserve Transfer:** Amount forfeited on 300 shares = 300 * Rs 6 = Rs 1,800. Less discount allowed Rs 600 = Rs 1,200. Entry: Debit Share Forfeiture $\frac{A}{c}$ Rs 1,200 and Credit Capital Reserve $\frac{A}{c}$ Rs 1,200. [1.5 Marks]

6. Explain the terms Oversubscription and Pro-Rata Allotment with one practical example. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Oversubscription:** When the number of share applications received exceeds the number of shares offered for public subscription. [1 Mark]

• **Pro-Rata Allotment:** Proportionate distribution of shares to applicants, e.g. allotting 10,000 shares among applicants for 15,000 shares in the ratio of 2:3. [1 Mark]

• **Surplus Treatment:** Excess application money received is adjusted toward allotment money due from those applicants. [1 Mark]

7. Star Ltd issued 20,000 equity shares of Rs 10 each at a premium of Rs 2 per share payable: Rs 3 on application, Rs 5 on allotment (including premium), and Rs 4 on first and final call. Applications were received for 20,000 shares and all money was duly received except from Mohan holding 500 shares who failed to pay allotment and call money. His shares were forfeited. Pass journal entries for forfeiture. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Unpaid Premium Consideration:** Premium was due on allotment and Mohan defaulted, so Securities Premium must be cancelled (debited). **[1 Mark]**

• **Forfeiture Entry:** Debit Equity Share Capital Account Rs 5,000 (500 * Rs 10); Debit Securities Premium $\frac{A}{c}$ Rs 1,000 (500 * Rs 2). **[1.5 Marks]**

• **Credits in Entry:** Credit Share Allotment $\frac{A}{c}$ Rs 2,500 (500 * Rs 5); Credit Share First and Final Call $\frac{A}{c}$ Rs 2,000 (500 * Rs 4); Credit Share Forfeiture $\frac{A}{c}$ Rs 1,500 (500 * application paid Rs 3). **[1.5 Marks]**